

Outlook

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Follow-up: stop treating transaction count as customer value

Hi team,

Finance needs a customer-value proxy for planning, but a full profitability engine and cost allocation are not available.

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use September 2022 as the new evidence point rather than recycling the earlier conclusion. The operating teams agree that more journeys are failing; they disagree on whether the customer, the bank or a downstream party owns the failure.

Can you test these explanations rather than choosing one at the start?

- high activity is being offset by service and fee friction
- some low-volume relationships are strategically valuable because of loan or deposit behaviour
- recurring inflows and product depth identify durable value

The decision is how to segment relationships for planning without pretending the proxy is accounting profit. Please give us a control view with the exceptions, owner and reason each item was included.

You should be able to build the evidence from monthly account snapshots, status events, limits, product enrolments and signatories; transaction-level timestamps, channels, amounts, statuses and error context; the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; customer contacts, complaints and suggestions; campaign design and customer responses. Label the result as a value proxy. It is not net interest margin, return on equity or customer profitability.

Thanks